amount popularly began to be referred to as the Demonetization Dividend.

Convinced of the absurdity of this argument, I wagered a glass of lime juice with one of India's most reputed economists during a panel discussion on national television. I said that there would be no Demonetization Dividend, and further, any money not returned to the banking system could not legitimately be appropriated as profit by the government. He disagreed and asserted that at least 25 per cent of currency demonetized would never return to the banks. Later, as data emerged, he was gracious enough to acknowledge that he was wrong!

The Attorney General, Mukul Rohatgi, representing the government of India in a spate of petitions against demonetization, predicted that this number could be even higher. On 16 November 2016, he told the SC bench of Chief Justices T.S. Thakur and D.Y. Chandrachud: 'About ₹3.25 lakh crore has been deposited with banks by people and the government expects the total to go up to ₹10–11 lakh crore by March 2017 end.' He added, 'In all likelihood, ₹4–5 lakh crore may not come back to the banks.'[33]

Before long, the nation was speculating on how this Demonetization Dividend would be spent: infrastructure projects; recapitalizing India's PSU banks; social security schemes for the poor – many creative ideas were floated.

This became a topic of much spirited debate. The most popular notion was that the Prime Minister would use this dividend to deliver on his 2014 election promise of crediting each citizen's account with 'recovered' black money. In ATM queues and markets across the country, people started saying: 'If not ₹15 lakh, at least we will get ₹15,000… if not everyone, at least the Jan Dhan account holders will!'

The next question was how the Demonetization Dividend would be transferred from the RBI to the government and indeed how the RBI itself would account for it.